



UNIVERSITY OF THE PUNJAB

B.S. 4 Years Program / Sixth Semester – Spring 2023

Roll

Paper: Money, Banking & Financial Institutions
Course Code: ECON-317

Time: 3 Hrs. Marks: 60

THE ANSWERS MUST BE ATTEMPTED ON THE ANSWER SHEET PROVIDED

Q.1. Answer the following short questions:

(6x5=30)

1. Define and explain the difference between rate of return and rate of **capital gain**.
2. How a Financial System Promotes Economic Efficiency
3. Explain the impact of **exchange rate** in economy of Pakistan in recent years
4. Compare and contrast **direct** and **indirect finance**
5. Differentiate between 'on balance sheet exposure' and 'off balance sheet exposure' in a bank's balance sheet
6. Explain the functions of SMEDA

Q.2. Answer the following questions.

(3x10=30)

1. What are the eight basic types of **Financial Regulation** Imposed by central banks on banking sector? Explain each in detail.
2. What are the functions of **Central Bank** in a country with special reference to Pakistan?
3. What are the general principles of Bank management? Explain each in detail.



Q.1. Give short answers to the following questions.

(6x5=30)

- i) What is the justification of foreign aid?
- ii) Green Revolution
- iii) Debt Management in Pakistan
- iv) Balance of trade and balance of payments
- v) Trade deficit and trade instability
- vi) Unemployment and Underemployment

Q.2. Answer the following questions in detail.

(3x10=30)

- i. What is WTO? Do you think that WTO is helping poor countries in their bid to prosperity? Discuss.
- ii. Discuss any three measures of unemployment in context of Pakistan.
- iii. How far foreign aid has been helpful in economic development of Pakistan?

